

Worked example - one company throughout

Revenue **£500,000** · Gross profit **£200,000** · Operating profit **£75,000** · Capital employed **£600,000** · Current assets **£120,000** · Current liabilities **£80,000** · Long-term debt **£240,000**

Gross profit margin	Operating profit margin
Formula: $\text{Gross profit} / \text{Revenue} \times 100$ Shows: How much of each £1 of sales is left after the cost of making the goods. Good direction: Higher is better. Worked: $200,000 / 500,000 \times 100 = 40\%$	Formula: $\text{Operating profit} / \text{Revenue} \times 100$ Shows: Profit left after the day-to-day running costs too. Good direction: Higher is better. Worked: $75,000 / 500,000 \times 100 = 15\%$
ROCE	Current ratio
Formula: $\text{Operating profit} / \text{Capital employed} \times 100$ Shows: The return earned on the money invested in the business. Good direction: Higher is better - beat the interest rate. Worked: $75,000 / 600,000 \times 100 = 12.5\%$	Formula: $\text{Current assets} / \text{Current liabilities}$ Shows: Can the firm pay its short-term debts? Good direction: About 1.5-2 : 1 is healthy. Worked: $120,000 / 80,000 = 1.5 : 1$
Gearing	
Formula: $\text{Non-current liabilities} / \text{Capital employed} \times 100$ Shows: How reliant the business is on borrowing. Good direction: Under ~50% = lower risk. Worked: $240,000 / 600,000 \times 100 = 40\%$	
Reading a ratio Never quote a ratio on its own - compare it to last year, a rival, or the industry. A 15% margin means little by itself; rising from 12% to 15% is the story examiners want.	Watch out ROCE uses operating profit, not net profit. The current ratio is written X : 1, not a %. Gearing above ~50% means heavy reliance on debt - risky if interest rates rise.

In the exam: interpret, do not just calculate

A 12.5% ROCE beats leaving the money in the bank (~4-5%), so the firm uses its capital well. But the marks are in the comparison: if ROCE fell from 14% to 12.5%, the business still beats the bank yet its returns are being squeezed - and that 'which way did it move, and why' is the analysis the examiner is paying for.

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